

2.2 VIX — Fear Index

How to read the VIX?

VIX < 15 → Confident market, low risk, strong buys

VIX 15–20 → Normal, need more caution

VIX 20–30 → Volatility up, decrease, defensive shift

VIX > 30 → Fear high, market could reverse—buying opportunity in the opposite direction

VIX > 40 → Crisis/panic selling — consider selling puts or long-term accumulation

Advanced note: Keep an eye on the VIX Term Structure (VIX9D vs VIX vs VIX3M vs VIX6M). When the short-term VIX is higher than the long-term = contango reversal = the market is in an immediate state of fear, not the long-term trend.